

5.2 IMPERFECT COMPETITION

Multiple Choice Questions

1990/CE/II/16

China Light and Power Co. Ltd. is a _____ under _____.

- A. public enterprise monopoly
- B. public company monopoly
- C. public corporation oligopoly
- D. public utility oligopoly

1991/CE/II/27

The reasons for classifying the video-renting industry in Hong Kong as monopolistic competition are:

- (1) The entry and exit of firms are restricted.
 - (2) The firms engage in non-price competition.
 - (3) The services of the firms are not homogenous.
 - (4) The firms charge the same price.
- A. (1) and (2) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (3) and (4) only

1992/CE/II/29

The market structure of gasoline supply in Hong Kong is best classified as

- A. perfect competition
- B. monopolistic competition
- C. oligopoly
- D. monopoly

1993/CE/II/30

In economics, which of the following statements about 'market' is correct?

- A. All buyers and sellers must meet at a physical location for transactions to take place.
- B. Under monopolistic competition, the entry of firms is restricted.
- C. Firms in an oligopolistic market compete in price only.
- D. A perfectly competitive firm cannot influence the market price by itself.

1995/CE/II/29

Which of the following is a general feature of oligopoly?

- A. There is perfect information.
- B. There is price competition only.
- C. There is free entry.
- D. There are only a few sellers who can dominate the market.

1996/CE/II/25

Newspapers in Hong Kong competed among themselves by cutting prices in 1995. This implies that

- A. the total revenue of a newspaper will increase if its demand is inelastic.
- B. the profit of a newspaper will increase if its demand is elastic.
- C. total revenue in the magazine industry will increase because newspaper and magazines are in competitive demand.
- D. the market structure of newspapers is not perfect competition.

1997/CE/II/59

With a number of new firms entering the market of mobile phone services, which of the following would LEAST likely occur?

- A. The price of mobile phone services would decrease
- B. The market share occupied by existing firms would decrease
- C. Firms would engage more in non-price competition
- D. The market would become a perfectly competitive one

1998/CE/II/22

The market structure of the newspaper publishers in Hong Kong is

- A. perfect competition because a particular newspaper is sold at the same price at different places.
- B. monopolistic competition because there are many newspaper stalls.
- C. oligopoly because only a few newspapers have leading market shares.
- D. monopoly because there is no close substitute when the consumer has formed the habit of reading a particular newspaper.

1999/CE/II/23

Before 1999, the international direct dialing service (IDD) in Hong Kong was solely provided by Hong Kong Telecom. Now several other companies also provide this service. As a result, the market structure for IDD has changed from _____ to _____.

- A. monopoly perfect competition
- B. monopoly oligopoly
- C. oligopoly monopolistic competition
- D. monopolistic competition perfect competition

2003/CE/II/49

In Hong Kong, free television broadcasting is provided by Television Broadcasts Limited (TVB) and Asia Television Limited (ATV). Which of the following is **NOT** correct?

These two companies

- A. are oligopolists.
- B. operate under franchise.
- C. broadcast television programmes which are economic goods.
- D. engage in non-price competition only.

2004/CE/II/25

The market structure of petroleum companies (e.g. Esso, Caltex) in Hong Kong could be regarded as oligopolistic because

- A. in making decisions these companies have to consider the reactions of other dominant companies in the industry.
- B. the total sales revenue of the market is equally shared by these companies.
- C. these companies are selling homogeneous products.
- D. the information about their products can be obtained at zero cost.

2006/CE/II/24

A market can be regarded as an oligopoly when

- A. information in the market is not perfect.
- B. a few sellers have a significantly larger market share than the others.
- C. the products sold in the market are daily necessities.
- D. the government controls the entry of sellers into the market.

2009/CE/II/25

The market structure of pay TV services (such as New TV and Cable TV) in Hong Kong is classified as

- A. monopoly.
- B. oligopoly.
- C. monopolistic competition.
- D. perfect competition.

2010/CE/II/25

The market structure of Internet service providers (e. g. PCCW and i-Cable) could be regarded as _____ and one feature of this market structure is that _____.

- A. monopolistic competition there is imperfect information about their services
- B. monopolistic competition they engage in both price and non-price competition
- C. oligopoly their services are homogeneous
- D. oligopoly they will consider the response of other providers when making decisions

2014/DSE/II/17

The table below shows the distribution of market share of supermarkets in Hong Kong in 2012.

Name	Market share (%)
Wellcome	39.8
Parkshop	33.1
Vanguard	7.8
Others	19.3
Total	100

From the above table, we can conclude that the market of supermarkets in Hong Kong is an example of _____ because _____.

- A. oligopoly sellers are interdependent in their marketing strategies
- B. oligopoly a few major sellers are in control of the total sales of the market
- C. monopolistic competition sellers can affect the market price as their products are heterogeneous from the consumers' viewpoint
- D. monopolistic competition there are many sellers adopting non-price competition in the market

2015/DSE/II/20

Which of the following statements about the theme park industry in Hong Kong is correct?

- A. Hong Kong Disneyland is a monopolist because its average cost of production drops when there are more tourists.
- B. Hong Kong Disneyland guarantees a profit because it is protected by the government.
- C. Hong Kong Disneyland and Ocean Park Hong Kong have no competition with each other as tourists may go to both theme parks.
- D. Hong Kong Disneyland and Ocean Park Hong Kong are interdependent in their marketing strategies.

2017/DSE/I/19

Which of the following statements about monopolistic competition are correct?

- (1) There can be a few or many buyers and sellers in the market.
 - (2) The sellers are price searchers.
 - (3) The goods and services provided by the sellers are homogeneous.
 - (4) There are free entry and exit in the market.
- A. (1) and (3) only
B. (1) and (4) only
C. (2) and (3) only
D. (2) and (4) only

2018/DSE/I/21

Sony's PS4 was responsible for \$17.8 billion of sales value, or 51% share of the global console hardware market, compared with Microsoft's Xbox One at \$9.1 billion of sales value or a 26% market share. Nintendo's 3DS platform (and its variants, such as the 2DS) was a distant third on the list with \$2.6 billion of sales value or 8% share of the market.

The market structure of the above global console hardware market is oligopoly. This statement is

- A. correct because the companies sell heterogeneous goods in the market.
B. correct because there are a few dominating companies in the market.
C. incorrect because the PS4 was only responsible for 51% of the market.
D. incorrect because there are a lot of sellers in the global market.

1992/CE/II/56

Which of the following is **NOT** a reason why there is only one firm supplying coal gas in Hong Kong?

- A. The firm is granted a franchise by the Hong Kong government.
B. The firm enjoys economies of scale in production.
C. It is costly for a new firm to construct a new underground pipeline network..
D. It is difficult for a new firm to capture a sufficient share of the market.

1993/CE/II/22

Which of the following statements about a monopolist is true?

- A. It has a high set-up cost.
B. It sells only one type of product.
C. It is regulated by the government.
D. There are no close substitutes of its product.

1994/CE/II/30

Which of the following statements about China Light and Power Company Limited is correct?

- A. It is an oligopoly because there are two competing electricity companies in Hong Kong.
B. It is an oligopoly because there will be a new nuclear power station in Daya Bay.
C. It is a natural monopoly because it enjoys economies of scale.
D. It is a franchised monopoly because the government grants an exclusive right for its running.

1996/CE/II/58

Which of the following is **NOT** a difference between monopoly and perfect competition?

- A. Advertisements are found in monopoly but not in perfect competition.
B. Firms are free to enter a perfectly competitive market but not a monopoly.
C. A monopolist can influence the market price while a competitive firm cannot.
D. Monopolists make greater profits than perfectly competitive firms.

2000/CE/II/25

Which of the following about a monopoly is correct?

- A. Its product has no substitutes as it is the only seller of the product of the kind.
- B. A monopolist still faces non-price competition.
- C. A monopolist can increase the price without losing any customers.
- D. Any business granted a franchise by the government is a monopoly.

2001/CE/II/24

Many people say that the MTR Corporation Limited is a monopolist. Which of the following about the company is correct?

- A. The demand for its product is perfectly inelastic.
- B. It still has to face competition.
- C. It does not need to advertise its product.
- D. It is sure to make profits as it is the only supplier.

2005/CE/II/25

Which of the following descriptions about monopoly is correct?

- A. A monopolist must possess a franchise to run the business.
- B. A monopolist faces no competition.
- C. A monopolist may incur losses.
- D. A monopolist sells only one product.

2007/CE/II/25

The Airport Express is the only railway service carrying passengers to the airport in Hong Kong. Which of the following statements about the Airport Express is correct?

- A. It would surely make a profit since it is the sole supplier of airport railway services.
- B. It does not need to promote its business through advertising.
- C. It can increase its price without losing any customers.
- D. It has to face competition in the market from other transport services to the airport.

2008/CE/II/25

The market structure of the electricity supply on Hong Kong Island is regarded as a/an

- A. monopoly because the government controls the entry of suppliers in the market.
- B. oligopoly because there are two electricity companies in Hong Kong.
- C. monopoly because there is only one supplier.
- D. oligopoly because the supplier is a price searcher.

2012/DSE/I/18

If a firm is a monopolist in a market,

- A. its monopoly power may come from the government.
- B. its return will be positive.
- C. it faces no competition.
- D. it bears no risk.

2013/DSE/I/17

The market structure of the electric power industry in Hong Kong is

- A. an oligopoly because there are two dominating companies in the market.
- B. an oligopoly because the pricing strategies of the companies are interdependent.
- C. a monopoly because the companies can increase the price without losing customers.
- D. a monopoly because there is only one electric company providing electricity in any district.

2016/DSE/I/20

Which of the following statements about monopoly are correct?

- (1) A monopolist sets the market price.
 - (2) A natural monopoly arises when no firms are permitted to enter the market.
 - (3) There are substitutes for the products provided by a monopolist.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2019/DSE/I/18

Which of the following statements about a perfectly competitive market are correct?

- (1) Firms cannot survive if they ask a price higher than the market price,
 - (2) There is no entry barrier to the market.
 - (3) The profit-maximising condition of the firms is that price equals marginal cost.
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2021/DSE/I/09

Based on the information in the above diagram, we can conclude that the market structure of online food delivery sector in China in 2017 could be regarded as _____ because _____.

- A. monopolistic competition ... market information about the food delivery services was imperfect
- B. monopolistic competition ... there were price and non-price competitions among the service providers
- C. oligopoly ... service providers considered the reactions of other major providers in making decisions
- D. oligopoly ... a few service providers had significantly larger market shares than others

2022/DSE/I/19

Clothing retail market can be classified as monopolistic competition. Which of the following statements about clothing retail market are correct?

- (1) The retailers engage in both price and non-price competitions.
 - (2) There are a few dominant sellers in the market.
 - (3) There is imperfect information about the quality of clothing in the market.
 - (4) The entry and exit of retailers are restricted.
- A. (1) and (3) only
 - B. (1) and (4) only
 - C. (2) and (3) only
 - D. (2) and (4) only

2023/DSE/I/18

The table below shows the distribution of market share of Mandatory Provident Fund (強制性公積金) trustees in Hong Kong in 2021.

Mandatory Provident Fund trustee	Market share
Manulife	25.8%
HSBC	18.6%
Sun Life	10.4%
AIA	9.1%
Others	36.1%

Based on the above information, we can conclude that the above market is an example of _____ because _____.

- A. oligopoly.....sellers are interdependent in their marketing strategies
- B. oligopoly.....there are a few dominant sellers in the market
- C. monopolistic competition.....there are many sellers in the market
- D. monopolistic competition.....services provided by different sellers are heterogeneous

2025/DSE/I/19

The table below shows the market shares of top four subscription video-on-demand (SVoD) service providers worldwide in March 2024.

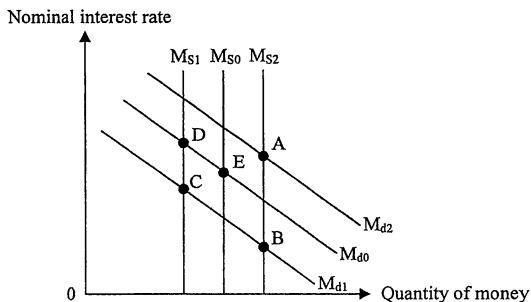
SVoD service provider	Market share (%)
Netflix	18.8
Amazon Prime Video	17.7
Disney+	11.7
Tencent Video	10.6

Based on the above information, we can conclude that the market structure of the worldwide SVoD market in March 2024 could be regarded as _____ because _____.

- A. monopolistic competition.....market information was imperfect
- B. monopolistic competition services provided by different service providers were heterogeneous
- C. oligopoly.....there were several dominant service providers in the market
- D. oligopoly.....the governments in different countries controlled the entry of service providers into their markets

2025/DSE/I/33

The diagram below shows the money demand and money supply curves of an economy. The original equilibrium point is at E.

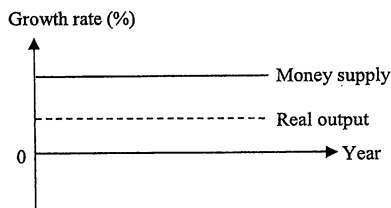


Suppose more and more people in the economy like to make payments for daily expenses using e-wallets. At the same time, the central bank of the economy performs an open market purchase of government bonds. The new equilibrium point in the above diagram will be at point _____.

- A. A
- B. B
- C. C
- D. D

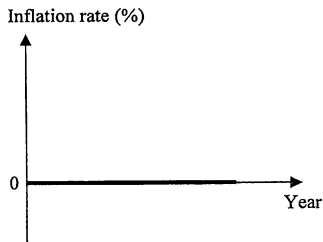
2025/DSE/I/39

Study the following diagram.

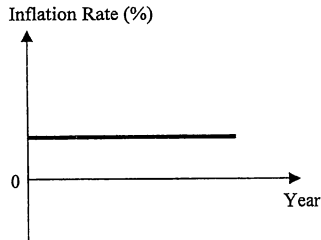


Based on the above information, which of the following is an implication of the quantity theory of money?

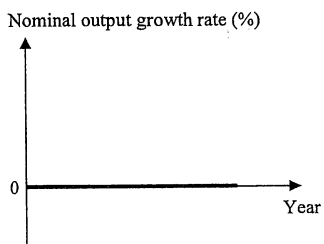
A.



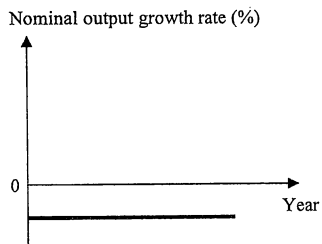
B.



C.



D.



Short & Structured Questions

1990/CE/1/2(c)

The banking industry of Hong Kong can be classified as oligopolistic. Give **TWO** characteristics of the industry which match this classification. (6 marks)

1991/CE/1/2(c)

The Hong Kong Oxygen and Acetylene Co. Ltd. (香港氧氣有限公司) is the only firm in Hong Kong supplying gases for medical uses.

(i) To which type of market structure does this firm belong? (1 mark)

(ii) Give **TWO** reasons to explain why the market structure of oxygen supply has not changed over the years. (6 marks)

1993/CE/1/3(b)

Give **TWO** economic reasons to explain why it is not desirable to have more than one firm supplying the underground railway service in Hong Kong. (6 marks)

1996/CE/1/5

What is the market structure of shops selling sports shoes in Hong Kong? List **THREE** ways of competition among firms under this market structure. (4 marks)

1997/CE/I/5

Amy wishes to apply for a home mortgage loan from a bank and has collected the following information from a number of banks:

Name of Bank	Lending interest rate (% p.a.)	Maximum repayment period
A	10.00	15 years
B	9.50	15 years
C	9.25	20 years
D	8.50	25 years
E	9.00	25 years

- (a) What is the market structure of home mortgage loans? (1 mark)
- (b) State **TWO** characteristics of this type of market structure which are illustrated in the above table. (2 marks)
- (c) State **TWO** other characteristics of this type of market structure. (2 marks)

1999/CE/I/9(d)

Give **TWO** features of the market structure of supermarkets in Hong Kong. (2 marks)

2000/CE/I/9(c)

What is the market structure of petroleum companies (e.g. Shell, Mobil) in Hong Kong? Explain your answer. (3 marks)

2002/CE/I/5

State **THREE** features of the market structure of stores selling computer hardware in the Golden Computer Centre (高登電腦中心). (3 marks)

2005/CE/I/3(b)

The following Hong Kong stock market information is extracted from a newspaper on a certain day.

Code	Telecommunication Company	Closing price of shares (\$)
0331	China Resources Peoples	0.290
0315	Smartone	8.700
0008	PCCW	4.925

To what type of market structure does the telecommunication industry of Hong Kong belong? State **THREE** features of this type of market structure. (4 marks)

2008/CE/I/3

Nokia, Samsung and Motorola all manufacture mobile phones. What is the market structure of mobile phone manufacturers? State **THREE** features of this type of market structure. (4 marks)

2010/CE/I/4

What is the market structure of mobile phone retailing shops in Hong Kong? State **THREE** features of this type of market structure. (4 marks)

2012/DSE/II/12(a)

Most private housing is constructed by several major property developers in Hong Kong. State the market structure of the private housing market and list **TWO** features of such kind of market structure. (3 marks)

2014/DSE/II/2(c)

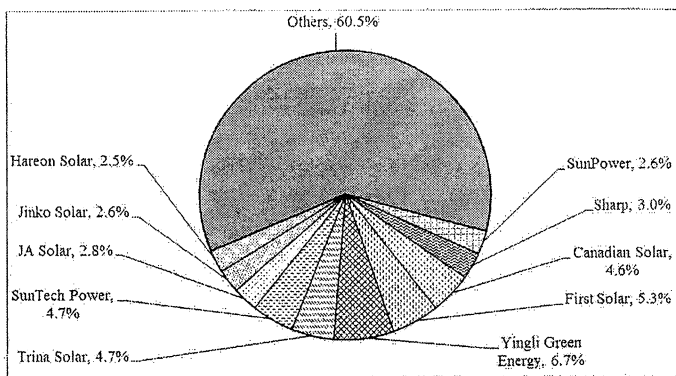
Ah Wing runs a store selling mobile phone accessories in Mong Kok.

Identify the market structure of mobile phone accessories retailers in Hong Kong. Give **TWO** reasons to support your answer. (3 marks)

2016/DSE/II/10(a)

Solar energy becomes an increasingly important energy source in the sunny western provinces, like Gansu and Xinjiang, in China.

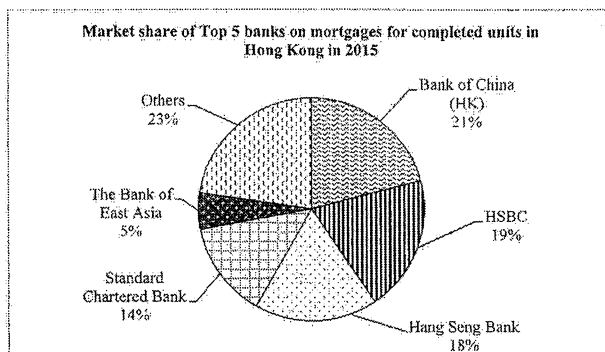
The diagram below shows the market shares of Top 10 solar photovoltaic (PV) module manufacturers in 2012.



What was the market structure of the above solar PV module market? List **TWO** features of this market structure. (3 marks)

2017/DSE/II/3

Refer to the following chart.



What was the market structure of the above market in 2015? List **TWO** features of this market structure. (3 marks)

2023/DSE/II/4

Smartphones of the same model are sold in different shops at different prices. Explain with **TWO** reasons why some customers buy the smartphones from shops selling at higher prices. (4 marks)

2024/DSE/II/1(b-c)

The table below shows the distribution of market share in the telecommunications industry in Hong Kong in 2023.

	Market Share
Hong Kong Telecommunications (stock code: 6823)	55%
Hong Kong Broadband Network	35%
Others	10%

- (b) What was the type of market structure of the above telecommunications market in 2023? List **TWO** features of this type of market structure that distinguish it from all the other types of market structure. (3 marks)
- (c) Unlike Hong Kong, City A has only one telecommunications company. Suggest **ONE** possible source of monopoly power for the telecommunications company in City A. (1 mark)

2025/DSE/II/2(a)

In Hong Kong, there are many yoga studios providing yoga classes.

- (a) Give **TWO** reasons to explain why the market of yoga classes in Hong Kong is **NOT** perfectly competitive. (4 marks)